

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 24-19

PELOTON INTERACTIVE, INC.,

COMPLAINANT,

v.

FLEXPORT INTERNATIONAL LLC,

RESPONDENT.

VERIFIED AMENDED COMPLAINT

Complainant Peloton Interactive, Inc. (“Complainant” or “Peloton”), by its undersigned attorneys, in accordance with the September 25, 2024 Order entered by the Presiding Officer, hereby files this Verified Amended Complaint against Respondent Flexport International LLC (“Respondent” or “Flexport”), alleging violations of the Shipping Act of 1984, 46 U.S.C. § 40101, et. seq. (the “Shipping Act”) as follows:

I. COMPLAINANT

1. Peloton is a Delaware corporation with its corporate headquarters at 441 9th Ave, 6th Floor, New York, NY 10001.

2. Peloton is a technology-enabled fitness company that offers, among other things, connected fitness equipment, apparel, and classes through streaming and on-demand media. Peloton’s connected fitness product portfolio includes the Peloton Bike, Bike+, Tread, Tread+, Guide, and Row. Peloton operates internationally and in North America.

3. In connection with the international nature of its manufacturing and product sales, Peloton regularly utilizes shipping and other logistics services to transport its materials and products, including containerized ocean shipping between the U.S. and foreign locations (“Peloton Containers”), and as relevant here, using “non-vessel operating common carriers” (“NVOCCs”).

II. RESPONDENT

4. Respondent is an entity organized under the laws of the state of Delaware, with its principal place of business at 760 Market Street, 8th Floor, San Francisco, CA 94102.

5. Respondent is an NVOCC pursuant to 46 U.S.C. § 40102(17), having Federal Maritime Commission (“FMC”) organization and license No. 025219.

III. JURISDICTION

6. The FMC has subject-matter jurisdiction over this Amended Complaint pursuant to the Shipping Act.

7. The FMC has personal jurisdiction over the Respondent as a regulated and registered NVOCC as defined in 46 U.S.C. § 40102(17).

8. This Amended Complaint is being filed pursuant to 46 U.S.C. § 41301. Peloton is seeking reparations for injuries resulting from Respondent’s violations of 46 U.S.C. § 41102(c), § 41104(a)(15), and § 41104(a)(14).

9. Respondent’s actions as alleged herein constitute failures by Respondent to establish, observe, and enforce just and reasonable practices relating to receiving, handling, storing, and delivering Peloton’s property, in violation of 46 U.S.C. § 41102(c) and 46 C.F.R.

§§545.4 and 545.5 (unreasonable practices); 46 U.S.C. § 41104(a)(15) (unlawful invoicing); and 46 U.S.C. § 41104(a)(14) (unreasonable charges).

IV. FACTUAL ALLEGATIONS AND CHRONOLOGY OF EVENTS

Flexport is a Common Carrier under the Shipping Act

10. Flexport is a common carrier licensed with the FMC. It holds itself out to the general public as part of a global transport and logistics company providing ocean transportation of cargo between the United States and a foreign country for compensation and as part of a “global partner infrastructure to ship any volume of goods.”

11. On the landing page of Flexport’s website, Flexport advertises to current and potential shipping and consignee customers that it is:

Your end-to-end supply chain, all in one platform

Flexport goes on to tout that it “is the platform that coordinates global logistics from factory **to customer door**—empowering businesses to ship anywhere, sell everywhere and grow faster.”¹ (emphasis added).

12. Peloton required the services of an entity such as Flexport that offered these end-to-end transport capabilities, as Peloton did not have the necessary infrastructure or agreements in place to manage inland transportation of its containers after they were discharged at marine or rail terminals.

13. For example, Peloton did not have a dispatch operation to schedule trucking appointments with trucking companies.

¹ <https://www.flexport.com/> (last visited October 2, 2024).

Flexport was Responsible for the Ocean and Inland Transportation of Peloton Containers

14. Flexport has shipped Peloton goods since at least 2015, including under various Negotiated Service Agreements (“NSAs”), Negotiated Rate Agreements (“NRAs”), and Master Service Agreements (“MSAs”). These included a MSA and related NSA dated June 1, 2020 and a MSA and related NSA dated July 1, 2021 relating to the majority of the shipments for which Peloton seeks reparations in this action (“Flexport Agreements”).

15. Flexport transported Peloton’s goods in ocean shipping containers (“Peloton Containers”) under “store door” terms to the U.S. from various overseas locations, through numerous U.S. ports (including, Boston, Norfolk, New York/New Jersey, Seattle and Savannah), to numerous inland locations throughout the U.S.

16. Store door transportation is also commonly referred to as “carrier haulage” because, in addition to the ocean transportation, the common carrier of the ocean transportation is also responsible for the inland movement of the container from the arrival port to the named place of delivery, via rail and/or truck drayage.

17. In the store door shipments, Flexport, as the common carrier, was responsible for arranging and paying for all aspects of the inland movement of the Peloton Containers, including the provision of chassis, and for ensuring the Peloton Containers were removed from U.S. marine and intermodal terminals, delivered to the final designated inland destination, and the empty containers were returned to the carrier-designated return locations.

***Flexport’s D&D Charges and Practices were
Unjust and Unreasonable Under the Shipping Act***

18. In store door shipments, costs and charges relating to delays in the timely delivery of containers (and chassis) to the designated inland locations and ultimately the return of empty containers and equipment (generally known as demurrage, detention, per diem and similar charges

(“D&D”)) should have been borne by Flexport, not the shipper or consignee, when the delays result from matters for which the shipper or consignee was not a cause or contributing factor; for example:

- a. underlying transportation delays (*e.g.*, delays in picking up containers from marine terminals caused by problems arranging inland drayage services, failing to provide adequate trucking, failing to provide or obtain adequate chassis and/or appointment availability at the terminals); and/or
- b. delays in equipment return caused by inland draying problems, and or inadequate empty return locations.

19. In the latter part of 2020 Flexport began charging Peloton increasing amounts of D&D charges on Peloton Containers. In the first half of 2020, Flexport charged Peloton about \$750,000 in D&D charges, which increased in the second half of 2020 to over \$1 million.

20. During 2021, Flexport’s D&D charges to Peloton increased dramatically, from about \$3.5 million in the first half of 2021, to over \$20 million in the second half of 2021.

21. Faced with Flexport’s failure to properly perform its inland transportation obligations and increasing D&D charges, in or about April 2021, Peloton engaged a third-party logistics provider and began transitioning new shipments away from store door shipments to container yard (“CY” or “port-to-port”) shipments, using the third-party logistics provider to manage the inland intermodal transportation.

22. The third-party logistics provider was not involved with the transportation of Peloton Containers moving under store door terms with Flexport.

23. The transition continued during the first half of 2022, during which time Flexport's D&D charges continued, but declined as a result of the transition, from about \$5 million in the first quarter of 2022, to about \$3 million in the second quarter of 2022.

24. By on or about June 2022, Peloton had significantly reduced shipping Peloton Containers with Flexport.

25. Flexport continued to invoice Peloton for approximately \$80,000 of D&D charges for Peloton Containers remaining in transportation after June 2022.

26. Flexport failed to properly perform its inland transportation obligations, including, but not limited to, failing to timely remove Peloton Containers from U.S. marine and intermodal terminals, failing to timely deliver Peloton Containers to their designated inland locations, and failing to timely return the empty containers within the applicable free time periods.

27. Flexport unjustly and unreasonably assessed D&D charges against Peloton and Peloton Containers without first undertaking an evaluation as to whether Flexport was responsible for the charges or whether its acts or omissions were a cause or contributing factor to the charges.

28. Flexport unjustly and unreasonably assessed these D&D charges against Peloton and Peloton Containers in circumstances where Peloton was not the party responsible to pick up, move, or return the containers.

Flexport's Unjust and Unreasonable Practices in Connection with the Transportation of Peloton's Containers Occurred on a Normal, Customary and Continuous Basis

29. During the time period relevant to this Amended Complaint, Flexport transported Peloton Containers under store door terms for inland delivery in the United States, and repeatedly and continuously failed to maintain just and reasonable practices in connection with its inland transportation obligations, including assessing unjust and unreasonable D&D charges on more than 3,000 separate invoices.

30. Exhibit A identifies invoices and D&D charges assessed by Flexport for Peloton Containers. The information is incorporated into this paragraph as a factual allegation of the Amended Complaint as if the information in Exhibit A were set forth in full herein.

31. The thousands of invoices identified in Exhibit A enumerating D&D charges assessed by Flexport over an extended period of time plainly show that Flexport engaged in the unreasonable and unlawful practices alleged herein on a normal, customary, and continuous basis.

***Flexport's Unjust and Unreasonable
Practices were the Proximate Cause of Peloton's Damages***

32. Flexport's unjust and unreasonable practices, and specifically Flexport's assessment of unreasonable D&D charges that Peloton paid, are the proximate cause of Peloton's damages.

33. As reflected in Exhibit A, Peloton was charged and paid over \$30 million in D&D charges in connection with Flexport's store door transportation of Peloton Containers, which were improperly invoiced by Flexport in violation of the Shipping Act.

34. Flexport improperly charged to Peloton D&D charges on the carriage of goods arranged by Flexport in circumstances where Flexport was responsible for arranging and managing the inland transportation, including timely removal and return of Peloton Containers.

35. Flexport improperly charged to Peloton D&D charges on the carriage of goods arranged by Flexport in circumstances where charging Peloton D&D charges did not incentivize the movement of cargo or primarily function to promote cargo fluidity.

36. As a result of Flexport's wrongful conduct, Peloton incurred substantial injuries and monetary damages, including but not limited to, paying improper D&D charges as alleged herein, and as set forth in Exhibit A.

37. Peloton seeks reparations for the D&D charges accruing within the three-year period set forth in 46 C.F.R. § 502.62(a)(4)(iii). Not all facts necessary to determine the precise dates when certain of the charges listed in Exhibit A accrued for the purpose of reparations are known at this time, and discovery in this proceeding will be necessary to ascertain such facts.

Flexport Invoices Lacked Required Information

38. In addition to the allegations set forth above, on and after June 16, 2022, Flexport issued invoices to Peloton in violation of the Shipping Act, as amended by the Ocean Shipping Reform Act of 2022 (“OSRA”).

39. Flexport’s invoices and billing information on and after June 16, 2022 lacked information required by section 41104(d)(2) of the Shipping Act, including the following:

- a. The start date of free time;
- b. The end date of free time;
- c. The container availability date; and
- d. The specific date(s) for which D&D was charged.

***Flexport Refused to Engage in Meaningful Discussions
with Peloton regarding the Charges***

40. Peloton has unsuccessfully attempted to resolve this matter with Flexport prior to filing this Amended Complaint. From February to March of 2024, Peloton’s operations team engaged in numerous discussions with Flexport regarding Peloton’s claims.

41. On March 21, 2024, Peloton’s counsel sent a demand letter to Flexport in an effort to resolve the matter without the need for FMC involvement.

42. From March to May of 2024, Peloton’s counsel engaged in settlement discussions concerning the wrongful D&D charges with Flexport, but were unable to resolve the matter.

V. VIOLATIONS OF THE SHIPPING ACT

COUNT I

VIOLATIONS OF 46 U.S.C. § 41102(c) - Unjust and Unreasonable Practices in Handling Property

43. Complainant repeats and realleges each and every allegation above as if fully set forth herein.

44. Section 46 U.S.C. § 41102(c) prohibits common carriers from failing to “establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.”

45. Respondent has violated 46 U.S.C. § 41102(c), including 46 CFR § 545.4, because the following elements are established here: (1) the respondent is a common carrier; (2) the claimed acts or omissions occurred on a normal, customary, and continuous basis; (3) the practice or regulation relates to or is connected with receiving, handling, storing, or delivering property; (4) the practice or regulation is unjust or unreasonable; and (5) the practice or regulation is the proximate cause of the claimed loss.

46. (1) Respondent is a common carrier and a NVOCC as defined by the Shipping Act.

47. (2) Respondent’s actions and omissions described herein occurred on an ongoing and continuous basis over an extended period during which time Respondent issued over 3,000 separate invoices containing unreasonable and unlawful D&D charges.

48. (3) Respondent’s actions and practices described herein relating to Peloton Containers and D&D charges are directly related to receiving, handling, storing, or delivering property, e.g. containerized cargo.

49. (4) Respondent’s actions and practices described herein relating to the assessment of D&D and related charges are unjust and unreasonable in violation of 46 U.S.C. § 41102(c) and 46 C.F.R. §§ 545.4 and 545.5. These actions and practices include, but are not limited to:

- a. assessing D&D charges to Peloton for the inland intermodal transportation of Peloton Containers moving under store door terms for reasons that were not within Peloton's control;
- b. assessing D&D charges to Peloton for the inland intermodal transportation of Peloton Containers when Flexport was responsible for the pickup from the port, movement to the inland place of delivery, and return of the empty Peloton Containers;
- c. continuing to book new Peloton Containers under store door terms without taking adequate steps to address increasing delays and costs incurred in securing timely intermodal movement of Peloton Containers;
- d. assessing D&D charges to Peloton in the inland intermodal transportation of Peloton Containers without a meaningful practice or procedure to first determine Flexport's responsibility for such charges (under store door terms or otherwise);
- e. assessing demurrage charges to Peloton in the inland intermodal transportation of Peloton Containers accrued during periods that Peloton Containers were not available for pickup from marine terminals and from inland terminals (under store door terms or otherwise);
- f. failing to provide Peloton with adequately detailed billing information and/or invoices related to D&D charges to permit Peloton to meaningfully understand and/or contest the charges;
- g. failing to confirm or arrange for the extension of free time and/or mitigate, waive, or reduce D&D charges that were not Peloton's responsibility;
- h. failing to have or employ an adequate dispute resolution policy or practice with regard to D&D charges;

- i. assessing D&D charges to Peloton, as consignee of the goods, for costs and charges of delays in the inland intermodal transportation of Peloton Containers moving under store door terms that serve no incentivizing purpose and do not promote freight fluidity; and
- j. assessing detention charges for equipment return delays that were Flexport's responsibility and for delays arising because Flexport did not provide an adequate opportunity to return containers.

50. (5) For the reasons set forth herein, Flexport's unreasonable practices, including assessment of D&D charges paid by Peloton, are the proximate cause of Peloton's claimed losses.

COUNT II
VIOLATIONS OF 46 U.S.C. § 41104(a)(15) – OSRA – Invoice Violations

51. Complainant repeats and realleges each and every allegation above as if fully set forth herein.

52. As amended by OSRA, 46 U.S.C. § 41104(a)(15) provides that a "common carrier, either alone or in conjunction with any other person, directly or indirectly, shall not...invoice any party for demurrage and detention charges unless the invoice includes information as described in subsection (d) [referring to 46 U.S.C. § 41104(d)]."

53. Flexport sought to invoice and/or charge Peloton for D&D charges on and after the effective date of OSRA in violation of 46 U.S.C. § 41104(d).

54. Flexport issued invoices on and after the effective date of OSRA without required information, and/or otherwise failed to comply with the requirements for D&D invoices in 46 U.S.C. § 41104(d), in violation of 46 U.S.C. § 41104(a)(15), as alleged above, including as reflected in Exhibit A.

55. In addition to other penalties and remedies, the issuance of such invoices would trigger 46 U.S.C. § 41104(f), which provides that "[f]ailure to include the information required

under subsection (d) of an invoice with any demurrage or detention charge shall eliminate any obligation of the charged party to pay the applicable charge.”

COUNT III
VIOLATIONS OF 46 U.S.C. § 41104(a)(14) – OSRA – Unreasonable Charges

56. Complainant repeats and realleges each and every allegation above as if fully set forth herein.

57. As amended by OSRA, 46 U.S.C. § 41104(a)(14) provides that a “common carrier, either alone or in conjunction with any other person, directly or indirectly, shall not ... assess any party for a charge that is inconsistent or does not comply with all applicable provisions and regulations, including subsection (c) of section 41102 or part 545 of title 46, Code of Federal Regulations (or successor regulations).”

58. As alleged in each of the Counts above, Flexport’s practices and actions in connection with assessment of D&D charges in and after the effective date of OSRA would also violate 46 U.S.C. § 41104(a)(14).

VI. CAUSATION AND INJURY TO COMPLAINANT

59. As a result of Flexport’s violations of the Shipping Act, Peloton has sustained injuries and monetary damages, including but not limited to thousands of improper D&D and related charges in excess of \$30 million dollars.

VII. ALTERNATIVE DISPUTE RESOLUTION

60. On May 28, 2024, Peloton had a preliminary consultation with a FMC Dispute Resolution Specialist regarding the availability of alternative dispute resolution (“ADR”) under the FMC’s ADR program, 46 C.F.R. § 502.64.

VIII. REQUEST FOR ORAL HEARING

61. Peloton requests a hearing on this matter, and further requests that the hearing be held at the Federal Maritime Commission, 800 N. Capitol St., NW, Washington, D.C. 20573-0001.

IX. PRAYER FOR RELIEF

WHEREFORE, Peloton respectfully requests that Flexport be required to answer the charges in this Amended Complaint, and that after a hearing, the FMC issue an Order:

1. Ordering that Flexport cease and desist from the unlawful conduct;
2. Requiring Flexport to pay Peloton reparations for the unlawful conduct described above, along with interest and Peloton's attorneys' fees and costs as described in 46 U.S.C. § 41305;
3. Requiring Flexport's payment of any other amounts that the FMC deems appropriate; and
4. Providing Peloton such other and further relief that the FMC deems is just and proper.

Respectfully Submitted,

Dated: October 2, 2024

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VERIFICATION

I, Martina Majstorovic, Sr. Director, Global Transportation & Logistics for Peloton Interactive, Inc., hereby declare and attest under penalty of perjury on behalf of Complainant that I have read the foregoing Verified Amended Complaint and believe, to the best of my knowledge, information, and belief, that the facts stated therein are true and correct.

Dated: 10/2/2024

Martina Majstorovic

Name: Martina Majstorovic

Title: Sr. Director, Global Transportation & Logistics

CERTIFICATE OF SERVICE

The undersigned hereby certifies that on the execution date which appears below, the undersigned served the attached document on counsel at the following email addresses:

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Executed: October 2, 2024

/s/ Kristine O. Little